

# The Walt Disney Company (DIS)

Q2 FY26 Earnings Review - Revenue-led beat, streaming margin inflection, and parks resilience keep the EPS compounder intact

| Rating     | 12-mo price target | Current price | Implied upside | Market cap |
|------------|--------------------|---------------|----------------|------------|
| Outperform | \$125              | \$98.79       | 26.5%          | \$175.1bn  |

## Investment view

We remain constructive on DIS following Q2 FY26. Results were not simply a cost-control story: management explicitly attributed the modest segment operating income outperformance to stronger-than-expected revenue growth. The key debate is whether Disney can compound adjusted EPS while funding streaming product investment, sports rights inflation, and Experiences expansion. Q2 supports the bull case: Entertainment SVOD reached a first double-digit operating margin, Experiences delivered fiscal Q2 records, and management raised/clarified an EPS pathway that points to acceleration in the back half of FY26 and double-digit growth in FY27.

## Key takeaways

- Revenue quality improved: Q2 revenue rose 7% to \$25.2bn, while total segment operating income rose 4% to \$4.6bn.
- Streaming inflection is real: Entertainment SVOD revenue rose 13%, operating income rose 88% to \$582mm, and margin reached 10.6%.
- Experiences remains the profit anchor: revenue rose 7% to \$9.5bn and operating income rose 5% to \$2.6bn despite pre-opening costs for Disney Adventure and World of Frozen.
- Sports is the near-term swing factor: operating income declined 5% in Q2 and management expects Q3 Sports operating income to decline about 14% due to rights cost timing.
- Cash flow optics are mixed: Q2 FCF was stable, but H1 FCF declined 53% due to tax timing and higher parks/cruise capex.

## Bottom line

We rate DIS Outperform with a \$125 12-month price target. Our target applies ~17x to our FY27E adjusted EPS of ~\$7.35. At the current price, DIS trades at ~14.4x our FY26E adjusted EPS and ~13.4x our FY27E adjusted EPS, which we view as attractive for a global IP platform with improving streaming profitability, durable Experiences economics, and an accelerating capital return program.

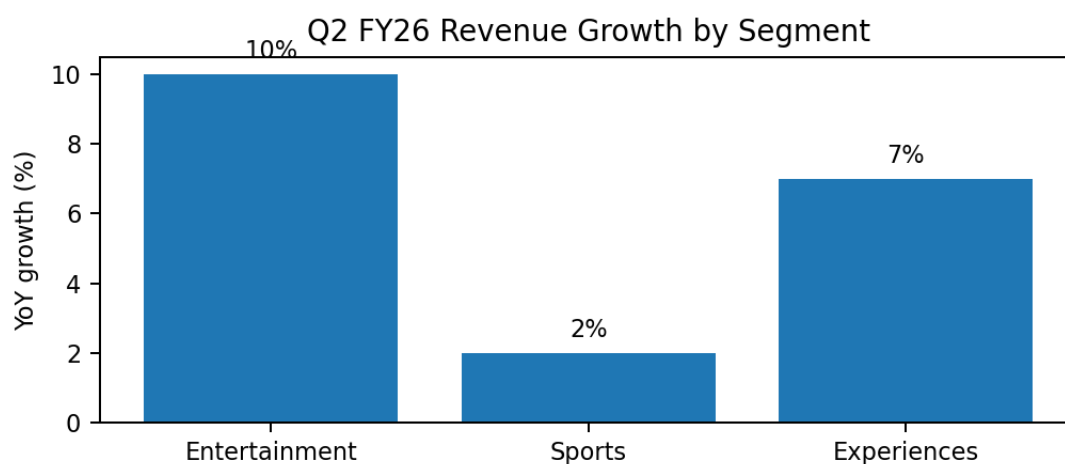
## Quarterly scorecard

Q2 was a clean revenue-led quarter. GAAP EPS declined because the year-ago quarter benefited from a prior-year tax matter; adjusted EPS is the cleaner operating lens and rose 8% year over year.

| Metric                   | Q2 FY26  | Q2 FY25  | YoY |
|--------------------------|----------|----------|-----|
| Revenue                  | \$25.2bn | \$23.6bn | 7%  |
| Income before taxes      | \$3.4bn  | \$3.1bn  | 9%  |
| Segment operating income | \$4.6bn  | \$4.4bn  | 4%  |
| Adjusted EPS             | \$1.57   | \$1.45   | 8%  |
| Free cash flow           | \$4.9bn  | \$4.9bn  | 1%  |

## What mattered most

- The top line beat matters because it lowers the risk that the EPS outlook depends only on expense reductions.
- Segment operating income growth lagged revenue growth because Disney is reinvesting in streaming content, technology, marketing, and sports rights.
- Adjusted EPS growth of 8% versus reported EPS decline of 30% underscores the importance of non-comparable tax and restructuring items this quarter.

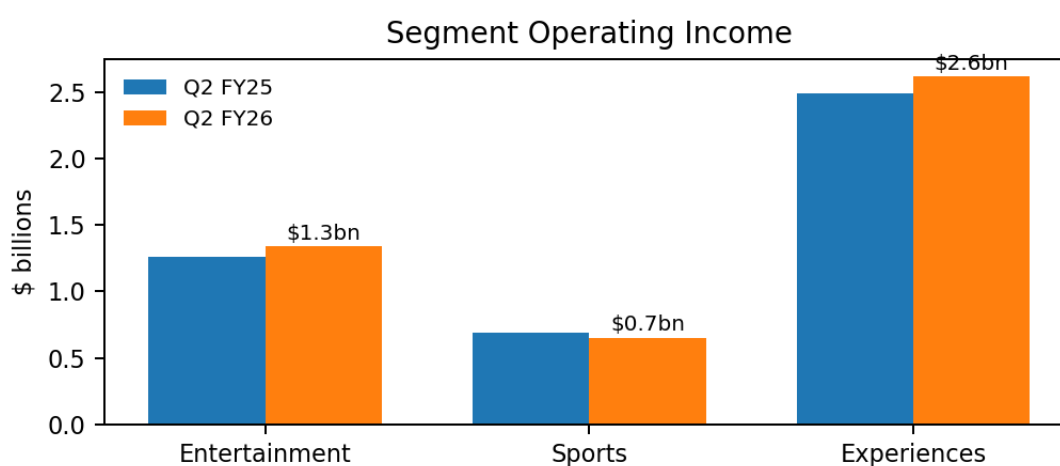


Source: Company Q2 FY26 earnings release, summarized segment financial results.

## Segment view

Segment results reinforce the portfolio logic: Entertainment is transitioning toward streaming profitability, Sports is absorbing rights-cost timing while building ESPN DTC, and Experiences continues to generate the majority of segment operating income.

| Segment       | Revenue  | Rev YoY | Op income | OI YoY | Margin | Analyst view                                                                                                                |
|---------------|----------|---------|-----------|--------|--------|-----------------------------------------------------------------------------------------------------------------------------|
| Entertainment | \$11.7bn | 10%     | \$1.3bn   | 6%     | 11.4%  | Strongest revenue growth; SVOD monetization and theatrical helped offset higher technology/content investment.              |
| Sports        | \$4.6bn  | 2%      | \$0.7bn   | (5)%   | 14.1%  | Subscription/affiliate fees grew, but rights costs and marketing pressure near-term earnings; DTC remains strategic upside. |
| Experiences   | \$9.5bn  | 7%      | \$2.6bn   | 5%     | 27.6%  | Record Q2; per-capita spend and cruise growth offset attendance softness and pre-opening costs.                             |



Segment operating income mix: Experiences generated 57% of Q2 segment operating income, Entertainment 29%, and Sports 14%.

## Deep dive: streaming and sports

Entertainment SVOD is the most important incremental datapoint. Revenue growth accelerated to 13% from 11% in Q1, driven by better monetization, subscriber growth, and international wholesale agreements. Operating leverage is emerging even as Disney continues to invest in content, product, and marketing.

| Entertainment SVOD | Q2 FY26 | Q2 FY25 | YoY      |
|--------------------|---------|---------|----------|
| Subscription fees  | \$4.7bn | \$4.1bn | 16%      |
| Advertising        | \$0.8bn | \$0.7bn | 12%      |
| Total revenue      | \$5.5bn | \$4.9bn | 13%      |
| Operating income   | \$0.6bn | \$0.3bn | 88%      |
| Operating margin   | 10.6%   | 6.4%    | +420 bps |

### Sports: near-term drag, long-term option

Sports revenue rose 2%, helped by higher effective rates and the NFL transaction, partly offset by subscriber pressure, lower advertising, and the absence of UFC pay-per-view revenue. The market will likely focus on Q3, where management expects Sports segment operating income to decline about 14% due to a double-digit increase in programming expenses. We view this as a timing and investment headwind rather than a thesis break, provided ESPN Unlimited continues to add content partners and distribution channels.

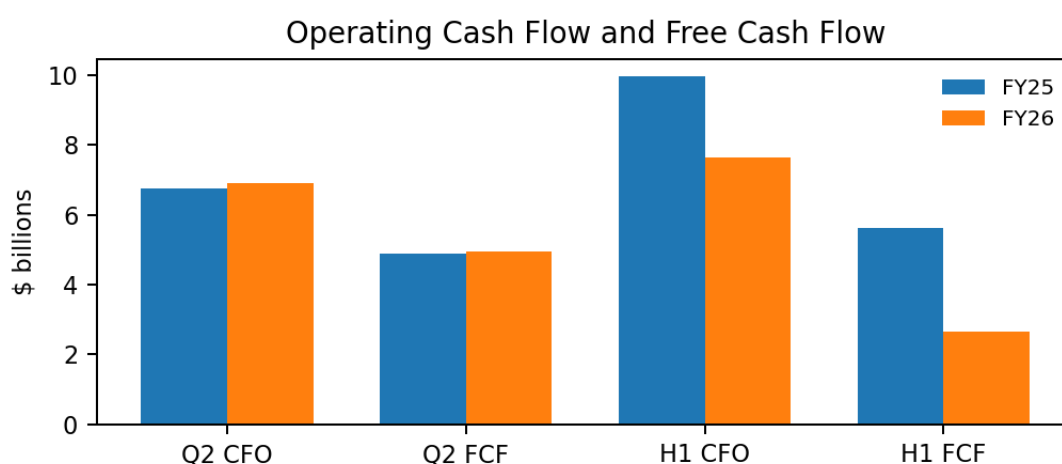
### Investment implication

- SVOD margin reaching double digits earlier in the ramp helps validate the streaming profit bridge.
- ESPN rights inflation will pressure quarterly comparability, but greater DTC monetization can offset secular linear subscriber erosion over time.
- The mix shift from linear TV to streaming remains the core execution risk and valuation unlock.

## Experiences, cash flow, and outlook

Experiences remains the company's economic ballast. Q2 revenue and operating income set fiscal second-quarter records, with growth of 7% and 5%, respectively. Domestic parks attendance declined 1%, but per-capita spending rose 5%, global guests grew 2%, and management expects Q3 domestic parks attendance trends to improve versus Q2.

| Experiences detail                 | Q2 FY26 | Q2 FY25 | YoY |
|------------------------------------|---------|---------|-----|
| Domestic revenue                   | \$6.9bn | \$6.5bn | 6%  |
| International revenue              | \$1.6bn | \$1.4bn | 11% |
| Consumer Products revenue          | \$1.0bn | \$0.9bn | 3%  |
| Domestic operating income          | \$1.9bn | \$1.8bn | 5%  |
| International operating income     | \$0.2bn | \$0.2bn | 1%  |
| Consumer Products operating income | \$0.5bn | \$0.4bn | 8%  |



### Cash flow and capital returns

Q2 free cash flow was essentially flat year over year at \$4.9bn, but H1 free cash flow declined to \$2.7bn from \$5.6bn. The company attributed the H1 decline to higher tax payments, increased content spending, and higher investments in parks, resorts, and other property. We do not view H1 FCF as structurally impaired, but the burden of proof is on second-half cash conversion given higher Experiences capex and share repurchases.

Management is targeting at least \$8bn of share repurchases in FY26. Disney had already repurchased \$5.5bn of common stock in the first half, alongside dividends of \$1.3bn.

## Outlook and valuation

Management expects FY26 adjusted EPS growth of approximately 12% excluding the 53rd week and approximately 16% including the 53rd week. It also expects Q3 total segment operating income of approximately \$5.3bn and reiterated double-digit adjusted EPS growth for FY27 excluding the 53rd week comparison.

| Valuation bridge                        | Estimate / assumption                            |
|-----------------------------------------|--------------------------------------------------|
| FY25 adjusted EPS base                  | \$5.93                                           |
| FY26E adjusted EPS, including 53rd week | \$6.88 (+16%)                                    |
| FY26E adjusted EPS, excluding 53rd week | \$6.64 (+12%)                                    |
| FY27E adjusted EPS                      | \$7.35 (our model, +10.7% vs FY26E ex 53rd week) |
| Target multiple                         | 17.0x FY27E adjusted EPS                         |
| 12-month price target                   | \$125                                            |
| Current price                           | \$98.79                                          |
| Implied upside                          | 26.5%                                            |

## Why Outperform

- Earnings revision risk skews positive if SVOD margins sustain double digits while Entertainment revenue continues to grow.
- Experiences is still compounding despite macro uncertainty; cruise and international expansion create multi-year capacity growth.
- Capital return is meaningful: the targeted \$8bn buyback equals roughly 4.6% of current market cap.
- At ~14.4x our FY26E adjusted EPS, the stock does not fully reflect the potential for double-digit EPS growth into FY27.

## Key risks

- Consumer weakness or international visitation softness at domestic parks.
- Sports rights inflation and lower linear subscribers outpacing ESPN DTC monetization.
- Streaming churn, advertising rate pressure, or content cost inflation.
- Theatrical slate volatility and franchise fatigue.
- Higher capex delaying free cash flow recovery or reducing incremental buyback capacity.

## Catalysts

- Q3 delivery against the ~\$5.3bn segment operating income guide.
- Further evidence of Entertainment SVOD margin expansion and engagement growth.
- Improving domestic parks attendance trends and strong Disney Adventure bookings.
- ESPN Unlimited distribution/content partnerships and Super Bowl LXI advertising momentum.

## Appendix: source notes and methodology

Primary company data in this note comes from The Walt Disney Company Q2 FY26 earnings release dated May 6, 2026, including summarized financial results, segment results, SVOD supplemental detail, Experiences supplemental detail, cash flow, and non-GAAP reconciliations. Page references in the source release include pp.1-2 for headline results and guidance, pp.11-15 for segment results, pp.16 and 23 for cash flow, and pp.20-24 for non-GAAP measures.

FY25 adjusted EPS of \$5.93 is from Disney's FY2025 fourth-quarter and full-year earnings release. Current price, market capitalization, and P/E are from market data as of the latest trade on June 26, 2026 UTC. Our FY26E and FY27E EPS calculations are illustrative analyst estimates based on management's growth framework, not company guidance beyond the stated growth percentages.

### Additional modeling notes

- FY26E adjusted EPS of \$6.88 uses FY25 adjusted EPS of \$5.93 multiplied by management's approximately 16% FY26 growth outlook including the 53rd week.
- FY26E adjusted EPS excluding the 53rd week of \$6.64 uses FY25 adjusted EPS multiplied by management's approximately 12% growth outlook excluding the 53rd week.
- FY27E adjusted EPS of \$7.35 assumes low-double-digit growth versus the FY26 ex-53rd-week base, consistent with management's FY27 double-digit framework.
- The \$125 target price equals 17.0x FY27E adjusted EPS rounded to the nearest dollar.

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### Important disclaimer

This document is an analyst-style research note generated for informational purposes only. It is not personalized investment advice, an offer to buy or sell securities, or a complete valuation report. Financial estimates and price targets are illustrative and depend on assumptions that may prove wrong. Investors should conduct their own diligence and consider their risk tolerance before making investment decisions.